

The Complete Financial Guide for Young Couples

bonds can go sour at the same time. That's why further diversification is usually necessary.

I've counseled many couples who have adopted this principle. Not long ago, I counseled a couple where the husband had worked for Sears, Roebuck all of his adult life. His entire life savings and retirement funds were in Sears stock. Sears is a very good company and their stock is sound, but everything this couple had to live on for the rest of their lives was at risk in one company. If Sears failed, and any company can, they would have lost their life savings with virtually no chance to replace it. My suggestion to them was to begin to diversify. Sell off some of the Sears stock as they could and put a part of it into mutual funds, a part into land, a part into residential real estate, and so on. By doing so, they would ensure that their savings would not be wiped out if Sears stock dropped drastically.

It's important to remember that the principle of diversification is not a one-time decision. In other words, you don't diversify and then forget it. You have to continue managing your money. We are required to be stewards, managers of God's property. If you don't have the knowledge, you need to gain it. Spend an hour a day for six months studying any area of investing, and you'll know more than most people who sell it.

To diversify your investments, you need to understand how a multitiered plan works. I'll demonstrate this system when we discuss specific investments, but briefly, I use five tiers.

Tier 1 is secure income such as CDs, stocks, government bonds, and notes.

Tier 2 is long-term income. These are investments that are higher risks, but have a higher rate of return, such as mortgages, corporate bonds, et cetera.

Tier 3 is growth investments such as mutual funds, utility stocks, and gold funds.

Tier 4 is speculative growth investments such as development property, limited partnerships, and new businesses.

Tier 5 is pure speculation investments such as oil and gas,